

Delivering a Competitive Compensation and Total Rewards Experience

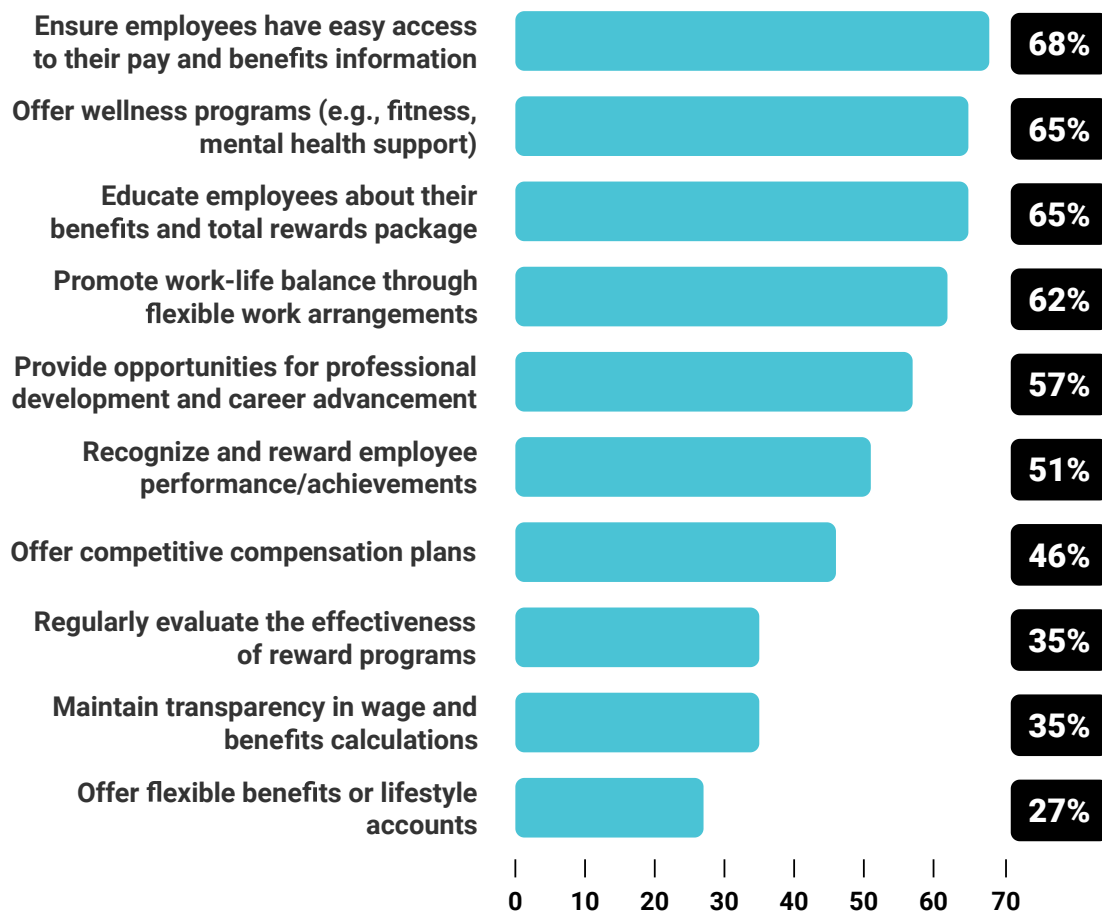


Finding: Roughly seven in ten organizations ensure employees have easy access to their pay information

The employee experience extends well beyond compensation alone, and organizations are increasingly investing in initiatives that strengthen communication, well-being, and development. The most common initiative is ensuring employees have easy access to pay and benefits information (68%) followed by educating employees about their benefits and total rewards package (65%), offering wellness programs (65%) and promoting work-life balance through flexible work arrangements (62%).

At the same time, several important elements of a modern total rewards strategy remain less common. Fewer than half of organizations offer competitive compensation plans (46%), maintain transparency in wage and benefits calculations (35%), or regularly evaluate the effectiveness of their reward programs (35%).

Which of the following compensation and total rewards initiatives does your organization offer to create a positive employee experience? (select all that apply)



Note: Results are based only on respondents who identified enhancing the employee experience as one of their organization's top three compensation and total rewards objectives.

Results of Chi-square Test

A chi-square test of independence shows that TR leaders are much more likely than TR laggards to offer the listed initiatives to create positive employee experience.

Finding: TR leaders provide a broader and more employee-centered total rewards experience

TR leaders consistently offer a wider range of initiatives that enhance the employee experience. The largest gap is in regularly evaluating the effectiveness of reward programs, with more than half of TR leaders doing so (55%) compared with just 9% of TR laggards.

TR leaders are also substantially more likely to promote work-life balance through flexible work arrangements (91% vs. 55%), offer wellness programs (82% vs. 64%) and provide opportunities for professional development and career advancement (73% vs. 46%).

Which of the following compensation and total rewards initiatives does your organization offer to create a positive employee experience? (select all that apply)

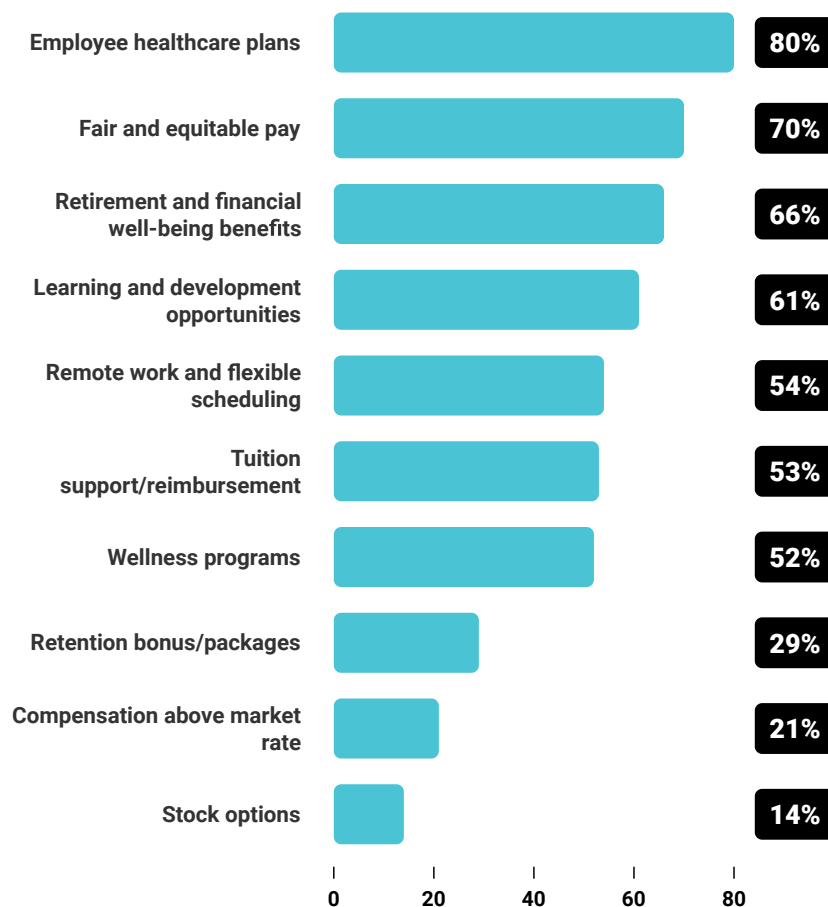




Finding: Just one in five organizations offer compensation above market rate to attract and/or retain talent

Organizations continue to rely on a core set of established rewards to attract and retain talent, with employee healthcare plans remaining the most widely offered component (80%). Fair and equitable pay ranks second (70%), highlighting the growing importance of pay fairness as a core element of the employee value proposition. Retirement and financial well-being benefits (66%) and learning and development opportunities (61%) are also widely offered, while more than half of organizations provide remote work or flexible scheduling (54%) and tuition support or reimbursement (53%).

Which of the following aspects of compensation and total rewards does your organization offer to attract and/or retain key talent? (select all that apply)



Note: Results are based only on respondents who identified attracting and/or retaining key talent as one of their organization's top three compensation and total rewards objectives.

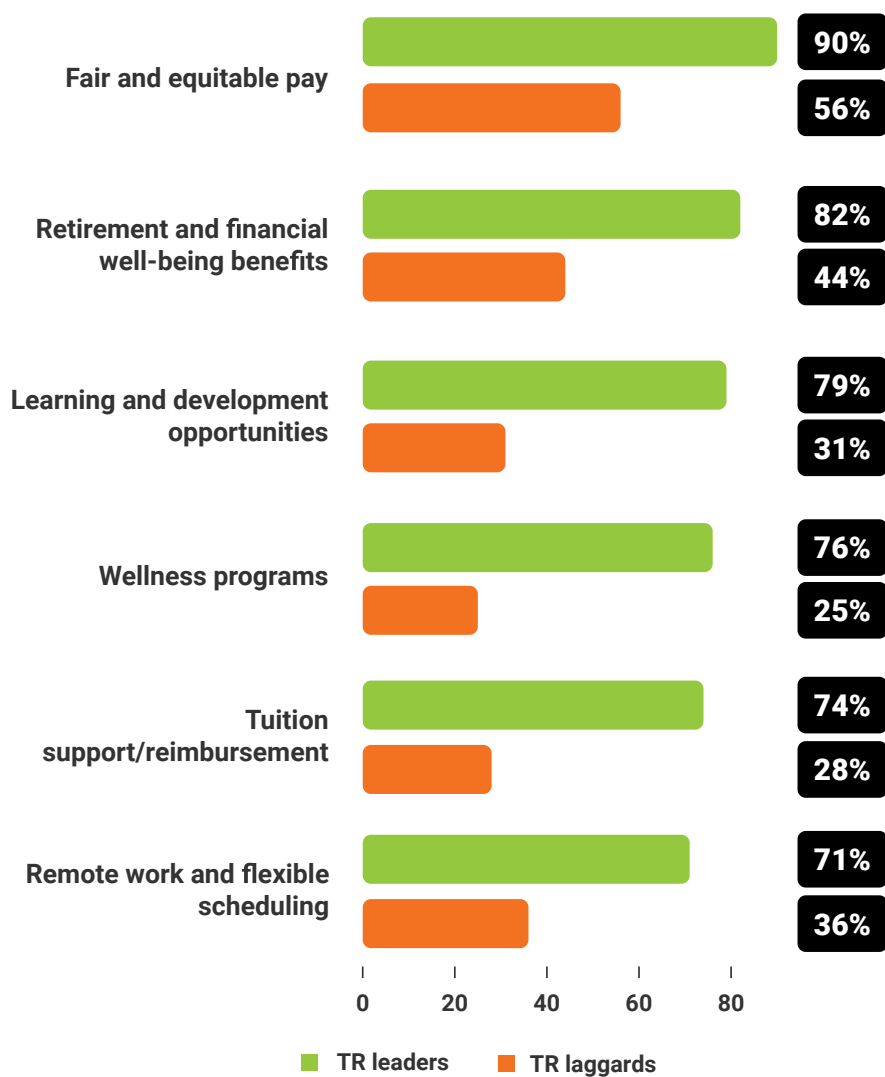
Results of Chi-square Test

A chi-square test of independence shows that TR leaders are much more likely than TR laggards to offer the listed initiatives to attract and/or retain key talent.

Finding: TR leaders provide a broader and more competitive total rewards package

TR leaders are considerably more likely to offer a wide range of total rewards that support employee attraction and retention. Large differences are in learning and development opportunities (79% vs. 31%), tuition reimbursement (74% vs. 28%), retirement and financial well-being benefits (82% vs. 44%), wellness programs (76% vs. 25%), and flexible work arrangements (71% vs. 36%).

Which of the following aspects of compensation and total rewards does your organization offer to attract and/or retain key talent? (select all that apply)

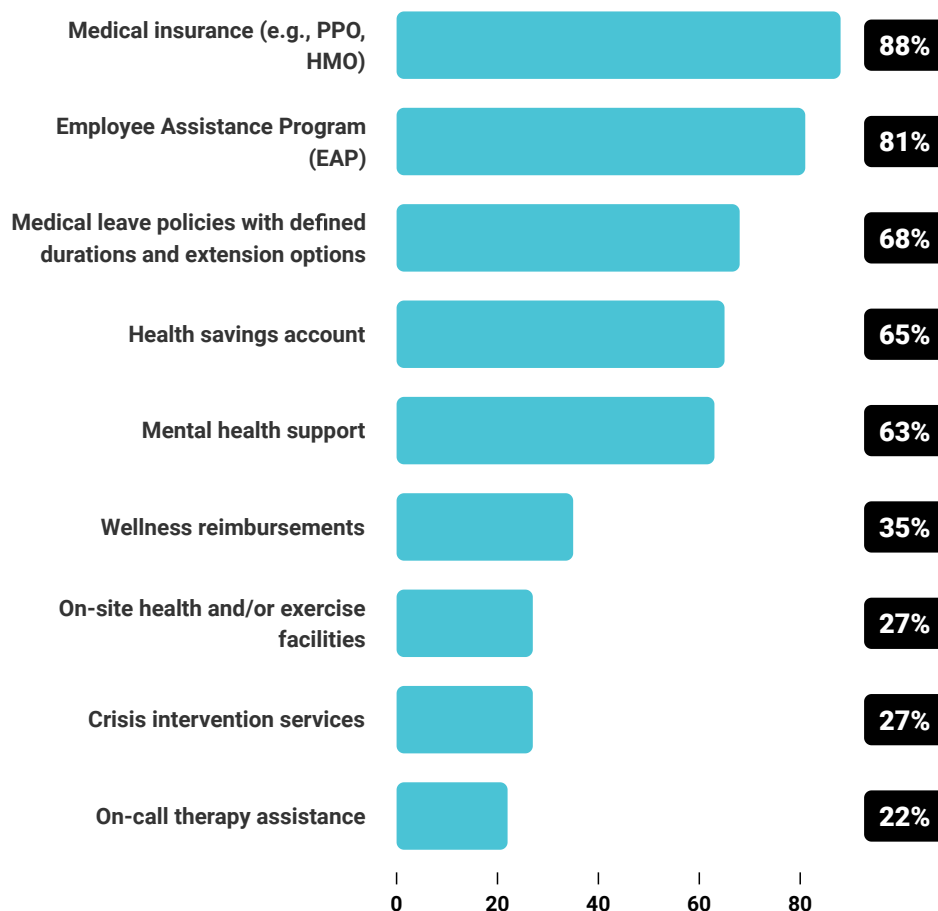




Finding: Nearly nine in ten organizations provide medical insurance, but few offer specialized benefits such as crisis intervention

Organizations continue to invest heavily in employee health and wellness benefits but prioritize foundational health benefits, while more specialized wellness offerings remain less widespread. Medical insurance (88%) and Employee Assistance Programs (81%) are common, while many also provide medical leave policies (68%), health savings accounts (65%), and mental health support (63%).

Which of the following health and wellness benefits does your organization provide? (select all that apply)

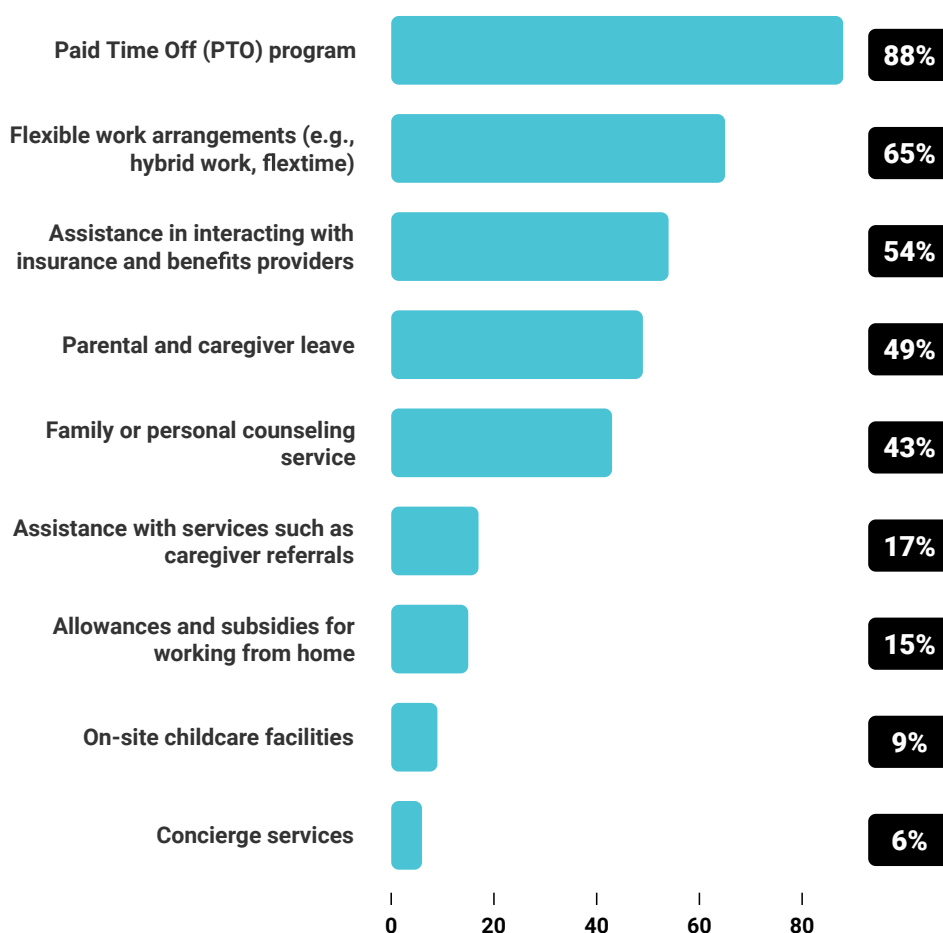




Finding: Work-life benefits emphasize flexibility but provide limited support for caregiving responsibilities

Work-life benefits are similarly centered on flexibility and employee support. Paid time off (88%) is the most common offering, followed by flexible work arrangements (65%), assistance with insurance and benefits providers (54%), parental and caregiver leave (49%), and family or personal counseling services (43%). In contrast, benefits that provide more direct support for caregiving and remote work, such as caregiver referral services (17%), home office allowances (15%), and on-site childcare (9%), are uncommon, indicating opportunities to better support employees with diverse personal and family responsibilities.

Which of the following work-life benefits does your organization offer? (select all that apply)



HRRI Strategic Recommendations

Based on our research consider the following suggestions:

- **Build on your foundation by offering rewards that meet changing employee needs.**

Most organizations already provide the core rewards employees expect, such as healthcare, retirement plans, and paid time off. The next opportunity is to make rewards more meaningful by identifying where employees' needs are changing. Use employee surveys, focus groups, and workforce data to understand what employees value most, then adjust your rewards package where it will have the greatest impact.

- **Give employees more choice in how they are rewarded.**

Relatively few organizations offer flexible or personalized rewards, even though employee needs vary across different life stages and career paths. Where possible, introduce options such as flexible benefits, lifestyle spending accounts, voluntary benefits, or additional leave choices so employees can select rewards that best fit their individual needs.

- **Regularly evaluate whether your rewards programs are working.**

Although many organizations invest in total rewards, relatively few regularly evaluate their effectiveness. Establish an annual review process that looks at employee participation, satisfaction, retention, recruitment outcomes, and business results. Use employee feedback together with program data to identify which rewards provide the greatest value and where improvements are needed.

- **Help employees understand the value of their total rewards.**

Employees cannot fully appreciate benefits they don't understand. Communicate your total rewards package throughout the year, not just during enrollment periods. Consider providing total rewards statements, manager toolkits, employee information sessions, and simple explanations of available programs so employees recognize the full value of what the organization provides.

- **Make fairness and employee experience part of your rewards strategy.**

Organizations with more mature total rewards strategies are much more likely to support employee well-being, regularly evaluate their programs, and provide a better employee experience. Review your rewards programs regularly to ensure they are fair, accessible, and aligned with employee expectations. Pay equity reviews, transparent communication, and ongoing employee feedback can help strengthen trust and improve the overall employee experience.